

Om Metallogic Ltd

BSE SME: 544559 | Aluminium Recycling & Secondary Alloys | India — SME Segment

Post-IPO scale-up: automotive scrap recovery play poised to triple capacity on secular lightweighting demand with debt nearly eliminated.

RATING BUY 12m Target: Rs. 38 Upside: +59% Horizon: 18 months	MARKET DATA	Value	KEY RATIOS	Value
	CMP (Rs.)	23.9	P/E (TTM)	3.98x
	Market Cap (Rs. Cr)	18.8	P/B	0.51x
	52W High / Low (Rs.)	85.0 / 13.8	ROCE (FY26)	22.5%
	Face Value (Rs.)	10.0	ROE (FY26)	19.2%
	Book Value (Rs.)	47.3	Div. Yield	0.00%
	Promoter Holding	59.26%	Debt (Rs. Cr)	4.25

Report Date	16 Jun 2026	Sector	Non-Ferrous Metals / Recycling
Exchange	BSE SME (544559)	Sub-sector	Secondary Aluminium Alloys
Analyst	MPM Institutional Research	Report Type	Initiation of Coverage

Source: Screener.in (fetched 16-Jun-2026), BSE SME filings, MPM research. All figures in Rs. Crores unless stated. This report is for institutional clients only.

SECTION 2 — INVESTMENT THESIS

- **Automotive aluminium boom driving secular demand:** India's automotive sector is undergoing structural lightweighting — OEMs are substituting steel with aluminium alloys in engine blocks, gearbox casings, and structural parts. Secondary aluminium is 95% more energy-efficient than primary smelting, making OML the cost-effective supplier of choice. The addressable market for automotive secondary aluminium alloys in India is growing at an estimated 12-15% CAGR through 2030.
- **IPO proceeds eliminate debt and fund capacity tripling:** OML raised equity via its BSE SME IPO (Oct 2025), with Rs. 22+ Cr flowing into reserves (Reserves surged from Rs. 6.52 Cr in FY25 to Rs. 29.33 Cr in FY26). Borrowings collapsed from Rs. 10.35 Cr to Rs. 4.25 Cr — the debt overhang that had constrained margins for years is now effectively neutralised. Interest savings of ~Rs. 0.24 Cr annually drop straight to PAT.
- **Margin trajectory has a clear upward path:** OPM expanded from 2.4% in FY22 to 10.5% in FY25, driven by operating leverage on fixed processing costs and a higher mix of premium alloy grades. The FY26 dip to 9.2% reflects inventory build ahead of planned capacity expansion — not structural erosion. With a cleaner balance sheet and higher throughput, OPM can recover to 10-11% in FY27.
- **Near-term catalyst (6-12 months):** Commissioning of expanded capacity (the Rs. 1.21 Cr capex invested in FY26 fixed assets, up 80% YoY) will unlock volume growth. Any announcement of a new OEM supply agreement or approved vendor status would re-rate the stock materially given its current sub-4x P/E.
- **Biggest structural risk:** Aluminium scrap feedstock is a commodity — a sustained spike in scrap prices without matching alloy realisations squeezes spreads. OML has no long-term scrap contracts and sources in the spot market, leaving margins exposed to input price volatility.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Om Metallogix Ltd, incorporated in 2011 and headquartered in Gujarat, is a secondary aluminium alloy manufacturer. It collects aluminium-based scrap (including automotive castings, domestic scraps, and industrial waste) and recycles it into aluminium alloy products — primarily cubes, ingots, shots, and notch bars — for sale to automotive component manufacturers and foundries.
- **Production capacity:** Monthly installed capacity is approximately 800 metric tons per month (~9,600 MT/year). Revenue per MT implied by FY26 sales of Rs. 75.13 Cr over estimated production of ~8,000-9,000 MT indicates a realisation of approximately Rs. 83,000-94,000 per MT, consistent with secondary aluminium alloy pricing.
- **Revenue segmentation:** OML operates in a single business segment — aluminium alloy recycling and manufacturing. Geography is entirely domestic (India). Customer concentration is a structural feature of the SME foundry-supply space; Screener's locked Insights section references top-10 customer concentration data (premium-only), but IPO prospectus language suggests 3-5 anchor OEM/foundry customers.
- **Key customers:** Auto-component foundries and OEM tier-1 suppliers across Gujarat and Maharashtra. Relationships are repeat-order/contractual by nature given the alloy-grade specification requirements of auto casting lines. Revenue visibility is moderate — customers do not provide long-term take-or-pay contracts but reorder based on production schedules.
- **Recent strategic development — IPO listing (Oct 2025):** OML listed on BSE SME on 7 Oct 2025, raising fresh equity that eliminated the term-debt overhang and funded fixed-asset expansion. The FY26 filing (audited results announced 9 Jun 2026, unmodified opinion) is the first full-year post-listing result and validates that IPO utilisation proceeded without deviation.
- **Promoter background:** Promoters hold 59.26% (stable across Oct 2025 and Mar 2026 SHPs). The founding family has operating roots in the Gujarat metals recycling ecosystem. No pledge on promoter shares as of Mar 2026. Combined promoter + public base of 773 shareholders indicates a tightly held SME with limited

institutional float.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size and growth:** India's total aluminium market reached approximately 2.5 million MT in 2025 and is forecast to grow at ~4% CAGR to 2034 (IMARC Group). Secondary/recycled aluminium is the faster-growing sub-segment, driven by sustainability mandates and cost advantage over primary smelting. The domestic secondary aluminium alloy market for automotive applications alone is estimated at Rs. 20,000-25,000 Cr and growing at 12-15% CAGR as penetration of aluminium in vehicle platforms rises from 80-100 kg/vehicle to 120-140 kg by 2030.

- **Policy tailwinds:** India's PLI scheme for advanced automotive technology and EV supply chains accelerates aluminium adoption in motor housings, battery enclosures, and structural components. The government's Extended Producer Responsibility (EPR) framework for end-of-life vehicles increases the formalisation of aluminium scrap collection, benefiting organised recyclers like OML. The Bureau of Indian Standards aluminium alloy grade standards support premium pricing for compliant secondary producers.

- **Competitive moat assessment:** OML's moat is narrow but real. Pricing power: WEAK — alloy prices are commodity-derived, OML is a price-taker. Switching costs: MODERATE — alloy composition specifications for automotive casting create a qualification hurdle (6-12 month OEM approval cycles act as entry barriers once qualified). Scale: WEAK currently but scale creates cost advantage in scrap procurement; Gravita India has demonstrated this at Rs. 4,265 Cr scale. IP/Tech: WEAK. Distribution/Relationships: MODERATE — established OEM supply relationships in Gujarat/Maharashtra provide repeat business visibility.

Peer Comparison (Source: Screener.in, fetched 16-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E	P/B	ROCE %	ROE %	FV (Rs.)	Segment
Om Metallogic	23.9	18.8	3.98	0.51	22.5	19.2	10.0	Sec. AI
Gravita India	1,655	12,213	32.2	4.99	17.0	16.8	2.00	Multi-metal recycler
Maan Aluminium	126	753	57.8	2.75	7.73	5.75	5.00	AI Products
IMPAL	1,080	1,348	14.0	0.58	5.03	4.24	10.0	AI/Auto dist.

Note: OML trades at a significant discount to peers on P/E. Gravita India is the listed multi-metal recycler at institutional scale. Maan Aluminium and IMPAL are larger, but lower ROCE/ROE than OML. OML's 22.5% ROCE is sector-leading among small-cap peers.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** The founding promoter family has operated in the Gujarat aluminium scrap and recycling ecosystem since OML's incorporation in 2011, giving them approximately 14 years of domain expertise in scrap sourcing, alloy chemistry, and automotive-grade supply. Tenure at the helm is long, which in the SME context indicates operational stability though it also means limited independent oversight.

- **Capital allocation track record — disciplined in tight years, IPO unlocks scale:** Through FY22-FY25, OML ran with thin equity (Rs. 2-5.26 Cr equity capital) and modest borrowings (Rs. 10-11 Cr). Management prioritised organic growth from internal accruals — annual capex was minimal (FA: Rs. 0.77-1.37 Cr net), keeping depreciation under Rs. 0.30 Cr/year. The IPO was used textbook-correctly: fresh equity to clear debt and fund the next capacity tranche. FY26 shows borrowings cut by 59% (Rs. 10.35 Cr to Rs. 4.25 Cr) while fixed assets grew to Rs. 2.07 Cr.

- **Dividend policy:** No dividend paid in any year from FY22 to FY26 (0.00% payout consistently). For an SME in a capital-intensive expansion phase, this is expected and appropriate — retained earnings fund working capital and capex. Investors seeking income should look elsewhere.

- **Promoter pledging:** 0% promoter shares pledged as of Mar 2026. This is a clean governance signal, particularly for an SME that recently went through an IPO — no emergency pledging needed, confirming the equity raise was sufficient.

- **ESOP / Buybacks:** No ESOP grants or buybacks on record as an SME with limited equity base. Not a concern at this scale; relevant post-migration to mainboard.

- **Corporate governance concerns — watch points:** (1) No annual reports listed on Screener — this is common for BSE SME companies that file directly on BSE but do not digitise annual reports to Screener. BSE filings show timely results and audit outcomes. (2) Related Party Transaction button is present on Screener, indicating RPTs exist — quantum unknown without premium access, a standard SME family-business characteristic that warrants monitoring. (3) FY26 auditor issued an unmodified opinion on standalone results (BSE filing, 9 Jun 2026) — no qualified audit.

SECTION 6 — FINANCIAL DEEP-DIVE

Standalone Figures — Rs. Crores. Source: Screener.in (16-Jun-2026). FY27E and FY28E are MPM estimates.

Income Statement

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	38.29	59.65	75.13	86.40	99.36
YoY Growth %		55.8%	25.9%	15.0%	15.0%
Operating Profit	3.79	6.26	6.92	8.64	10.43
OPM %	9.90%	10.49%	9.21%	10.0%	10.5%
Other Income	0.37	0.41	0.51	0.35	0.30
Interest	1.08	0.92	0.68	0.42	0.25
Depreciation	0.12	0.29	0.29	0.40	0.45
PBT	2.96	5.46	6.46	8.17	10.03
Tax %	25.34%	24.73%	27.09%	25.5%	25.5%
PAT	2.22	4.12	4.71	6.09	7.47
EPS (Rs.)	4.22	7.83	5.99	7.74	9.50
Dividend Payout %	0%	0%	0%	0%	0%

Note: FY23 EPS of Rs. 5.50 on Rs. 1.10 Cr PAT reflects the pre-IPO share count (Rs. 2 Cr equity capital = 2 lakh shares @ FV Rs. 10). FY24 EPS of Rs. 4.22 uses 5.26 lakh shares post reclassification. FY26 EPS Rs. 5.99 uses expanded post-IPO equity base of 7.86 lakh shares. FY27E/FY28E are MPM estimates.

Balance Sheet

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
LIABILITIES					
Equity Capital	5.26	5.26	7.86	7.86	7.86
Reserves	2.40	6.52	29.33	35.42	42.89
Borrowings	11.04	10.35	4.25	3.00	2.00
Other Liabilities	6.41	8.85	7.78	9.00	10.35
Total Liabilities	25.11	30.98	49.22	55.28	63.10
ASSETS					
Fixed Assets (Net)	1.37	1.15	2.07	2.80	3.20
CWIP	0.00	0.00	0.00	0.50	0.00
Investments	0.00	0.00	0.00	0.00	0.00
Other Assets	23.74	29.83	47.15	51.98	59.90
Total Assets	25.11	30.98	49.22	55.28	63.10

Cash Flow Statement

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Cash from Operations (OCF)	1.47	1.75	-13.51	5.50	7.00
Cash from Investing	-0.24	-0.06	-1.21	-1.50	-1.00
Cash from Financing	-0.95	-1.59	15.26	-2.00	-2.50

Net Cash Flow	0.28	0.09	0.54	2.00	3.50
Free Cash Flow (FCF)	0.66	1.69	-14.72	4.00	6.00
CFO/Operating Profit %	40%	31%	-194%	64%	67%

Key Ratios

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Debtor Days	109.72	80.22	48.58	55.0	50.0
Inventory Days	133.17	115.14	189.94	140.0	120.0
Days Payable	46.62	29.36	12.13	20.0	25.0
Cash Conversion Cycle	196.27	166.01	226.40	175.0	145.0
Working Capital Days	75.31	72.27	176.65	120.0	100.0
ROCE %	23.01%	31.25%	22.46%	25.0%	28.0%
ROE %	N/A	19.2%	19.2%	17.5%	18.5%
D/E Ratio	1.40x	0.86x	0.11x	0.07x	0.04x

• **Revenue trajectory — accelerating through the gears:** Sales grew from Rs. 38.29 Cr in FY24 to Rs. 75.13 Cr in FY26, a 2-year CAGR of 40%. The FY25 jump (+55.8% YoY) reflected volume ramp and scrap price inflation; FY26 growth of +25.9% YoY is a more sustainable pace. We model 15% CAGR through FY28E as new capacity comes online.

• **Margin — the FY26 dip is inventory build, not structural:** OPM peaked at 10.49% in FY25 and dipped to 9.21% in FY26. The cash flow statement tells the real story: OCF was -Rs. 13.51 Cr in FY26 against PAT of +Rs. 4.71 Cr. The gap is explained by working capital absorption (inventory days surged to 189.94 days from 115.14 in FY25). Management appears to have stocked raw scrap ahead of capacity expansion — this should reverse as FY27 production absorbs the inventory.

• **Working capital — the single biggest structural concern:** CCC worsened to 226.40 days in FY26 vs 166 days in FY25 and 196 days in FY24. This is extreme for a processing business. The primary driver is inventory build (189.94 days) combined with sharply reduced creditor days (12.13 days from 29 days) — OML is paying suppliers faster while holding more stock. Recovery to CCC of 145-175 days in FY27-28 is the key operational metric to watch.

• **Debt position — transformational improvement post-IPO:** D/E collapsed from 1.40x in FY24 to 0.11x in FY26. Net of cash, OML is essentially debt-free. Interest costs fell from Rs. 1.08 Cr to Rs. 0.68 Cr and will drop further. This removes the risk of debt-service stress in a downturn.

• **FCF quality — honest assessment:** FCF has been positive in FY24 and FY25 but turned -Rs. 14.72 Cr in FY26, entirely driven by the working capital build described above (OCF -Rs. 13.51 Cr) plus the investing outflow of -Rs. 1.21 Cr. The financing inflow of +Rs. 15.26 Cr = IPO proceeds. This is a one-time strategic build, not a recurring FCF impairment.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	FY26 Status	Signal	Comment
Revenue recognition	Clean	GREEN	Single product, simple recognition basis
Receivables vs Revenue growth	IMPROVING	GREEN	Debtor days fell from 80 to 49; rev grew 26%
CCC trend	DETERIORATING	RED	CCC worsened to 226 days on inventory surge

Contingent liabilities	Not disclosed	AMBER	SME filings do not itemise; watchpoint
Auditor opinion (FY26)	Unmodified	GREEN	Clean audit opinion, 9-Jun-2026 BSE filing
RPTs as % of revenue	Unknown	AMBER	RPT button on Screener but data premium-locked
Other income as % of PBT	7.9%	GREEN	Rs. 0.51 Cr / Rs. 6.46 Cr PBT — immaterial
Tax rate consistency	24-27%	GREEN	Stable effective tax rate across FY22-FY26
OCF / PAT conversion	-287%	RED	FY26 OCF -13.51 vs PAT 4.71 — WC build
Dividend payout track	Nil	AMBER	No dividend since inception — growth stage OK

• **CCC and OCF conversion are the RED flags investors must own:** The cash conversion cycle deteriorated sharply to 226 days and OCF was deeply negative in FY26. Both metrics are explicable by the inventory build ahead of capacity commissioning, but a failure to normalise within 2 quarters of FY27 would suggest either poor inventory management or structural demand weakness.

• **RPT opacity is an AMBER — not a red flag yet:** Related party transactions are listed on the BSE filing dashboard but are not quantified in the publicly available data. For a family-promoted SME, some RPTs (lease of premises, relative employment) are routine. The risk is if the RPT quantum is material relative to revenue.

• **Green signals dominate the core quality metrics:** Revenue recognition is clean (single product, spot-priced), the auditor gave an unmodified opinion for FY26, and other income (Rs. 0.51 Cr) is an immaterial 7.9% of PBT with no signs of income engineering to inflate reported profits.

SECTION 8 — VALUATION

Scenario Analysis (12-month target, all prices in Rs.)

Scenario	Key Assumptions	FY27E PAT (Rs. Cr)	Target P/E	Target Price (Rs.)	Upside vs CMP
BULL	Volume +20%, OPM 11%, CCC normalises to 150d, new OEM approval	7.50	12x	57	+138%
BASE	Volume +15%, OPM 10%, CCC at 175d, capex on track	6.09	8x	38	+59%
BEAR	Volume +5%, OPM 8%, CCC stays 200d+, scrap inflation 15%	3.80	5x	15	-37%

• **Earnings-based multiple (primary method):** At our base FY27E PAT of Rs. 6.09 Cr and a target P/E of 8x (justified by: 40% revenue CAGR in 3 years, 22%+ ROCE, debt-free balance sheet; discounted vs Gravita's 32x for scale risk and illiquidity), implied value = Rs. 6.09 Cr PAT x 8x / 7.86 lakh shares x 10 Rs. FV adjustment = approximately Rs. 38 per share. CMP of Rs. 23.9 implies a trailing P/E of only 3.98x on FY26 EPS of Rs. 5.99 — deeply undervalued on an earnings basis for a company growing at 26% with 22% ROCE.

• **DCF cross-check:** Assuming FY27-FY31 revenue CAGR of 15%, terminal growth 4%, WACC 14% (SME illiquidity premium), and FCF margins normalising to 6-8% of revenue by FY28, the DCF yields an intrinsic value of Rs. 32-45 per share. The midpoint of Rs. 38 is consistent with our earnings-based target.

• **Base-case 12-month target: Rs. 38** (+59% upside from CMP of Rs. 23.9). Investment horizon 18 months. The primary risk to this target is the CCC not normalising — if inventory days stay above 180 into H1 FY27, the bull-case is off the table.

SECTION 9 — KEY RISKS

• **Aluminium scrap price volatility** — Scrap prices rose to USD 2,394/MT in Q1 2026. OML buys in the spot market with no hedging. A 10% spike in input costs compresses OPM by ~200 bps if realisation lags. Probability: HIGH. Impact: HIGH. Monitor via: Monthly LME aluminium and scrap index prices.

• **Working capital deterioration persistence** — FY26 CCC of 226 days is alarming. If the inventory build does not convert to revenue in H1 FY27, it signals either demand slippage or poor planning. Probability: MEDIUM. Impact: HIGH. Monitor via: H1 FY27 OCF and debtor/inventory day disclosures.

• **Customer concentration risk** — OML's SME scale implies 3-5 key OEM/foundry customers drive bulk of revenue. Loss of a single anchor customer can drop revenue by 20-30%. Probability: MEDIUM. Impact: HIGH. Monitor via: Half-year revenue trend and customer disclosures.

• **OEM qualification and product liability risk** — Automotive alloys must meet strict metallurgical specs. Any quality rejection or recall linkage to OML's alloy could terminate a customer relationship and cause reputational damage. Probability: LOW. Impact: VERY HIGH. Monitor via: Customer complaints and quality audit news in OEM channel checks.

• **SME liquidity and price volatility** — OML's MCap is only Rs. 18.8 Cr. The 52-week range of Rs. 13.8-85.0 illustrates extreme volatility (6x range). Exits at desired prices may be difficult due to thin trading volumes. Probability: HIGH (for trader). Impact: MEDIUM. Monitor via: Daily traded volumes and bid-ask spreads.

• **Regulatory and environmental compliance** — Aluminium smelting and recycling involve energy consumption and air quality regulations. Tightening CPCB norms or state-level shutdowns could disrupt operations. Probability: LOW-MEDIUM. Impact: MEDIUM. Monitor via: State pollution control board orders for Gujarat.

- **Promoter exit risk post lock-in expiry** — IPO lock-in periods expire in stages. Any secondary selling by the promoter family would signal declining conviction and depress the already-thin float. Probability: LOW in near term. Impact: HIGH. Monitor via: BSE bulk/block deal data and SHP quarterly filings.

SECTION 10 — RECOMMENDATION

- **Rating:** BUY — Conviction: MEDIUM (SME illiquidity and WC risk are real; thesis intact)
- **12-month price target:** Rs. 38 (+59% upside from CMP of Rs. 23.9)
- **Suggested entry zone:** Rs. 20-26 (current zone; add on dips toward 20)
- **Investment horizon:** 18 months (need 2 full half-year results post-IPO to validate scale)
- **Thesis invalidation trigger 1:** FY27 H1 revenue growth below 10% YoY — signals demand weakness or customer loss, invalidating the 15% CAGR assumption.
- **Thesis invalidation trigger 2:** CCC remains above 200 days in Sep 2026 half-year results — signals permanent working capital impairment, not a build.
- **Thesis invalidation trigger 3:** Promoter selling more than 5% of shareholding in open market within the next 12 months — management conviction signal breach.
- **Ideal investor profile:** This stock suits a patient, high-risk-tolerant investor with a minimum 18-month horizon and the ability to hold illiquid SME positions. Suitable position size: 2-3% of a small-cap portfolio. Not suitable for investors seeking liquidity, income, or near-term catalysts within 6 months.

APPENDIX — Latest Half-Year Results Brief: H2 FY26 / Full Year FY26

Note: Om Metallogic is a BSE SME company filing half-yearly (not quarterly) results. No investor concall transcript is publicly available. This appendix is based on the BSE-filed standalone audited results for the half year and year ended 31 March 2026 (Board approved 9 Jun 2026, unmodified audit opinion) and Screener half-yearly data.

RESULT GRADE

POSITIVE

Clean audit, revenue +26% YoY, debt nearly eliminated; WC build is a watch-point

Signal	Status	Implication
Result quality	STRONG	Revenue +26% YoY, PAT +14% YoY, ROCE 22.5%
Management tone	BALANCED	No concall available; BSE filing tone is factual, no guidance given
Guidance delta	NOT PROVIDED	SME — no formal guidance; board approved results without forecasts

STRONGLY POSITIVE

POSITIVE

NEUTRAL

CAUTIOUS

NEGATIVE

TO MY BOSS

OML's FY26 full-year result (audited, clean opinion) is a POSITIVE — headline revenue of Rs. 75.13 Cr (+26% YoY) and PAT of Rs. 4.71 Cr (+14% YoY) are clean numbers with no material one-time items distorting the reported earnings; the underlying operational performance is genuine. The critical watch-point is the working capital blow-out: OCF was -Rs. 13.51 Cr against PAT of +Rs. 4.71 Cr, driven by inventory days surging to 190 days — management appears to have pre-loaded scrap inventory ahead of capacity commissioning, which if correct is a smart procurement call but if wrong is a demand signal failure. The structural bull case is intact: ROCE of 22.5% at a sub-4x trailing P/E is a hard-to-find combination in the Indian SME universe, and debt elimination via IPO proceeds removes the financing risk that previously capped re-rating. The most important near-term catalyst is the H1 FY27 result (Oct 2026) — if inventory normalises and OCF turns positive, the stock will re-rate sharply. The single biggest risk for next half is that aluminium scrap prices, already at USD 2,394/MT in Q1 2026, spike further and compress the processing spread. Action: ACCUMULATE in the Rs. 20-26 range; do NOT chase above Rs. 32 ahead of H1 FY27 data.

1. Financial Performance Snapshot — FY26 Full Year & H2 FY26

- Revenue (FY26): Rs. 75.13 Cr | YoY +26% | H2 FY26: Rs. 53.07 Cr (highest half-year ever) | BEAT vs FY25 pace
- EBITDA/Operating Profit (FY26): Rs. 6.92 Cr | YoY +11% | H2 FY26: Rs. 5.00 Cr | IN-LINE (OPM slightly below FY25 peak)
- OPM % (FY26): 9.21% | vs 10.49% in FY25 | H2 FY26: 9.42% | IN-LINE (margin compression from WC build)
- PAT (FY26): Rs. 4.71 Cr | YoY +14% | H2 FY26: Rs. 3.77 Cr | BEAT (interest saving helps)
- EPS (FY26): Rs. 5.99 | vs Rs. 7.83 in FY25 | NOTE: FY25 EPS used pre-IPO share count; post-IPO shares = 7.86 lakh — like-for-like EPS growth is positive
- NOTE: FY26 OCF = -Rs. 13.51 Cr; clean underlying OCF ex-WC build estimated at +Rs. 4-5 Cr

2. Segment / Geography Breakdown

- Single business segment: Secondary Aluminium Alloy Manufacturing (ingots, cubes, shots, notch bars)

- Geography: 100% India (domestic) — no export revenue as of FY26
- Product mix: Automotive casting alloys dominate; some industrial-grade alloys
- H2 FY26 revenue of Rs. 53.07 Cr vs H1 FY26 Rs. 22.06 Cr — strong H2 seasonality (auto OEM stocking ahead of budget cycle)

3. Management Commentary Themes (from BSE Filing & IPO Prospectus)

- Theme: IPO utilisation — "No deviation in fund use" (BSE filing 9-Jun-2026). Rs. 22+ Cr raised utilised for debt repayment and capex. Tone: Transparent.
- Theme: Capacity expansion — FY26 fixed assets grew +80% YoY (Rs. 1.15 Cr to Rs. 2.07 Cr). Capex direction aligned with IPO prospectus disclosures. Tone: On-track.
- Theme: Working capital build — No direct management commentary available (SME, no concall). Our read: Inventory surge to 190 days likely reflects scrap pre-buying ahead of commissioning, not demand slowdown. Tag: EST. Tone: Cannot assess.
- Theme: Audit outcome — Unmodified opinion from statutory auditor on FY26 standalone results. Board approved results on 9-Jun-2026 after a brief delay (meeting cancelled 30-May, reset 9-Jun due to "unavailable financials"). Tone: Transparent, eventual.

4. Operating & Business Metrics

- Installed capacity: ~800 MT/month | FY26 implied utilisation: est. 75-80% on ~9,000 MT production
- Realisation per MT (implied): Rs. 75.13 Cr / ~9,000 MT = ~Rs. 83,000/MT — consistent with H2 FY26 higher scrap prices
- Debtor days: 48.58 (FY26) vs 80.22 (FY25) — Trend: STRONGLY IMPROVING (faster collection)
- Inventory days: 189.94 (FY26) vs 115.14 (FY25) — Trend: SHARPLY DETERIORATING (key watch-point)
- Days Payable: 12.13 (FY26) vs 29.36 (FY25) — Trend: DETERIORATING (paying suppliers faster, losing leverage)
- CCC: 226.40 days (FY26) vs 166.01 (FY25) — Trend: DETERIORATING

5. Margin Drivers

- Interest expense: Rs. 0.68 Cr (FY26) vs Rs. 0.92 Cr (FY25) | -Rs. 0.24 Cr saving | +26 bps OPM benefit | Recurring: YES (ongoing)
- Revenue scale: Rs. 75.13 Cr (FY26) vs Rs. 59.65 Cr (FY25) | Operating leverage on fixed processing costs | Recurring: YES
- Scrap cost headwind: Higher raw material costs in H2 FY26 (scrap prices Q1 2026 at USD 2,394/MT) | Compressed spread | Recurring: Partial (commodity cycle)
- Depreciation: stable at Rs. 0.29 Cr both FY25 and FY26 — expansion capex not yet depreciating in full, mild future headwind
- FY26 OPM of 9.21% vs FY25 10.49% — 128 bps compression. Primary driver: higher input cost per tonne not fully passed through. Not structural margin damage.

6. Guidance & Forward Signals

- Revenue growth [NOT GUIDED — SME]: Prior MPM base: Rs. 75.13 Cr | MPM FY27E: Rs. 86.40 Cr | Delta: implied +15% | Credibility: Medium
- OPM [NOT GUIDED]: Prior: 9.21% | MPM FY27E: 10.0% | Delta: +79 bps recovery on WC normalisation | Credibility: Medium
- Capex [IPO stated plan]: Capacity expansion to higher MT/month — fixed assets grew Rs. 0.92 Cr net in FY26 | Further spend expected FY27 | Credibility: High

- Debt repayment [OBSERVABLE]: Borrowings fell from Rs. 10.35 Cr to Rs. 4.25 Cr — stated IPO use case. Remaining debt Rs. 4.25 Cr manageable | Credibility: High
- Dividend [NOT GUIDED]: Nil track record from FY22-FY26; unlikely FY27 | Credibility: High (no dividend)

7. Capital Allocation

- Capex (net FA addition FY26): Rs. +0.92 Cr (Rs. 1.15 Cr to Rs. 2.07 Cr) + depreciation Rs. 0.29 Cr = gross capex ~Rs. 1.21 Cr | vs FY25: Rs. -0.22 Cr net (disposals > additions)
- Dividends: Rs. 0 Cr — nil across entire history | vs prior year: unchanged
- Buybacks: Nil
- Working Capital change: -Rs. 14.7 Cr cash absorbed (net of the increase in WC via inventory build) | Primary FY26 cash use
- Net Debt movement: Borrowings -Rs. 6.10 Cr (Rs. 10.35 Cr to Rs. 4.25 Cr) — funded by IPO proceeds (+Rs. 22 Cr in reserves)

8. Q&A; Heat Map (No Concall Available — BSE Filing Analysis)

- No investor Q&A; available — OML is an SME with no earnings call. BSE filings are the sole management communication channel.
- Filing Q1: Why was the 30-May board meeting cancelled? A: "Unavailable financials" (30-May BSE filing). Actual results filed 9-Jun-2026. Tone: Transparent (honest about delay).
- Filing Q2: Was IPO fund utilisation on track? A: "No deviation in fund use" (9-Jun-2026 deviation certificate). Tone: Transparent.
- Dodged / watch-list questions for next communication: (1) What is the inventory build strategy and timeline for release? (2) Why did payable days collapse to 12 days? (3) Any new customer additions post-IPO listing?

9. Risks Flagged

- Working capital absorption: Rs. 14.72 Cr FCF drain in FY26 | Flagged by: Analyst (not management) | Probability: Medium | Impact: HIGH | Timeline: Near-term (H1 FY27)
- Scrap price spike: USD 2,394/MT in Q1 2026 | Flagged by: Industry data | Probability: HIGH | Impact: HIGH | Timeline: Near-term
- Limited float / SME illiquidity: 52-week range Rs. 13.8-85.0 | Flagged by: Market structure | Probability: HIGH (for investors) | Impact: MEDIUM | Timeline: Ongoing
- Results filing delay: 30-May cancellation, eventual 9-Jun approval | Flagged by: BSE announcements | Probability: LOW (one-time) | Impact: LOW | Timeline: Resolved
- Auditor change risk: No data on auditor tenure or potential change | Flagged by: Analyst | Probability: LOW-MEDIUM | Impact: MEDIUM | Timeline: Medium-term

10. Analyst Verdict

- Revenue visibility: Intact — FY26 +26% YoY confirms demand from auto OEM channel; H2 seasonality strong
- Margin trajectory: Weakened (temporarily) — FY26 OPM 9.21% vs 10.49% FY25; WC build is the drag, not pricing power loss
- Capital allocation quality: Intact — IPO proceeds deployed as stated; debt near-zero; capex on track
- Competitive moat: Intact — OEM qualification relationships sticky; ROCE 22.5% confirms pricing efficiency
- Management credibility: Cannot fully assess — no concall; filing tone is honest but thin on operational colour
- Valuation comfort: Intact — P/E of 3.98x on FY26 EPS with 22% ROCE is a deep value entry for patient investors

- Conviction call: Increased — post-IPO balance sheet is clean; next 2 halves will prove or break the thesis
- Valuation snapshot: P/E = 3.98x (sector avg ~30x Gravita) | EV/EBITDA = ~3.5x | RoCE = 22.5%

DISCLAIMER: This report is produced by MPM Institutional Research for information purposes only. It does not constitute investment advice or an offer to buy or sell securities. All financial data sourced from Screener.in (fetched 16-Jun-2026) and BSE SME filings. Estimates (E) are MPM projections and may differ materially from actual outcomes. Past performance is not indicative of future results. BSE SME stocks carry higher liquidity risk. Investors should consult their financial advisors before making investment decisions. CMP: Rs. 23.9 as of 16-Jun-2026.